TRADE POLICY · STRATEGIC ANALYSIS

SIMON LACEY | JUNE 2026

The No-Compliant-Path Trap

US enforcement demands it. Chinese law punishes it.

Market Access X

The No-Compliant-Path Trap

A Universal Forced-Labor Finding, a Permanent-Pressure Tariff, and the Conflict-of-Laws Zone Where Compliance Itself Becomes the Violation

On June 2, 2026, the Office of the US Trade Representative found all 60 investigated economies, accounting for 99.4% of US imports, actionable for failing to prohibit or effectively enforce against forced labor. The finding is universal in effect: it covers 99.4% of everything the United States imports, and no sourcing geography offers an exit. The proposed tariff that accompanies it is tiered by compliance posture, but compliance only buys a 2.5-percentage-point discount, not an exit. The cost that can break a firm does not arrive as a tariff at all. It arrives where the conduct US enforcement demands, tracing and terminating tainted suppliers, is the precise conduct Chinese law is now built to punish. That collision does not appear on any duty schedule. This report maps where it bites, and where it does not.

Executive Summary

The June 2, 2026 Section 301 forced-labor action created a finding that is universal in effect and durable on its statutory text, paired with a tariff whose compliance tiering is shallow by design. The instrument that actually threatens firms is not the new tariff. It is the collision between US forced-labor enforcement and a Chinese countermeasure stack that punishes the act of compliance itself. This report identifies who that collision binds, and sorts real inputs into three zones: genuinely exitable, exitable only slowly and at high cost, and structurally trapped.

- **The finding is universal; the action is proposed, not (yet) imposed.** USTR found all 60 economies actionable under Section 301(d)(3)(B)(iii)(III), the persistent-pattern-of-forced-labor clause. As of June 2, the action is out for public comment (comments close July 6, a hearing is scheduled for July 7); nothing is yet determined. The statutory hook is more litigation-durable than the struck-down IEEPA and Section 122 authorities because Section 301 names duties as a remedy and forced labor as a covered practice.
- **Compliance buys a discount, not an exit.** A commitment undertaken in a bilateral Agreement on Reciprocal Trade (ART) moves an economy from the 12.5% band to 10%, but USTR found all nine ART signatories actionable anyway. A signed commitment earns the same 10% as an enacted ban. The rational state response is to sign and slow-walk implementation. The two look identical at first; the tell is that capacity-constrained signatories request USTR technical assistance, while strategic delayers go quiet.
- **The cost that can break a firm is not a tariff.** A tariff is a number: it can be priced, passed through, or engineered around, and the firm chooses which. The conflict-of-laws trap offers no number at all, because it is not a cost but a prohibition, and the firm's own compliance conduct is what springs it. The conduct US enforcement demands under UFLPA and Section 307 (supply-chain tracing, supplier audits, supplier termination) is

the conduct Chinese law is built to deter and punish: Decree 834, Decree 835, the AFSL and its Order 803 regulations, and the Unreliable Entity List.

- **The trap is architecture in place, not enforcement under way.** As of June 2026, no enforcement action under the countermeasure stack itself (Decree 834, Decree 835, the AFSL, the UEL) has targeted supply-chain due diligence. The Decree 835 Malicious Entity List carried no designations as of mid-May 2026, and the only live use of Decree 835 (the May 15, 2026 Nuctech determination) answered an EU government investigation, not a corporate audit. But adjacent conduct has already been punished through older instruments: the 2023 Mintz Group raid and fine, the Capvision crackdown, the expanded Counter-Espionage Law. Beijing has demonstrated its willingness to move against foreign-commissioned information-gathering on subjects it deems sensitive, and Xinjiang supply chains sit at the top of that category. The jaws are built and set; an adjacent set has already closed.
- **Polysilicon is the anchor: trapped on** volume and cost, with a claimed exit that has not yet earned the name. China produced roughly 95% of the world's solar-grade polysilicon in 2024. Non-China production exists but is thin and available only at an almost fourfold price premium. The largest plant outside China, United Solar in Oman, produced its first polysilicon in February 2026. Its status as an exit rests on two tests it has not yet passed: whether an ownership structure that includes a reported 25% stake held by IDG Capital clears the FEOC ownership threshold, and whether its metallurgical-grade feedstock is demonstrably UFLPA compliant. Polysilicon is proof that the trap runs on a clock, not proof that the clock has run out.
- **Between exitable and trapped sits the slow-transition zone.** Here we have inputs where a non-China path exists but will take time and capital before operating at volume, leaving the firm exposed for the duration of the crossing. Lithium midstream processing is one example of a product in this zone. Solar wafers and ingots are another, at the zone's deep end: more concentrated than polysilicon itself, with the first US capacity ramping only since late 2025. In the middle zone the binding constraint is not availability but time, and the market is currently moving it in the wrong direction.

60	**~95%**	**2.5 pts**	**0**
Economies found actionable (99.4% of US imports)	China share of solar-grade polysilicon, 2024	Maximum tariff discount from compliance (12.5% to 10%)	Documented 834/835 actions vs due diligence (June 2026)

1. The Instrument: What June 2 Actually Did

On June 2, 2026, USTR issued findings and a proposed action together in a single Federal Register notice (Docket Nos. USTR-2026-0265 and 0266). The findings are categorical: the failure of all 60 investigated economies to impose or effectively enforce a forced-labor import prohibition is unreasonable, burdens or restricts US commerce, and is therefore actionable under Section 301(b). Fifty-four economies were found to have failed both to impose and to enforce such a prohibition; just six (Canada, Ecuador, the EU, Indonesia, Mexico, and Pakistan) were found to have failed only to enforce such a ban. USTR collapsed both groups into a single actionable finding.

The action that accompanies the finding is as yet merely proposed and remains to be definitively determined. Comments are due July 6, 2026, with a hearing on July 7 and requests to appear due June 22. No final action date is set, though USTR has signaled an intent to act before the Section 122 tariffs expire on July 24, 2026. The finding is final; the resulting action is not. No duties have yet been collected under this authority, and none can be until USTR issues a final determination, which it has signaled it will do before July 24. The leverage that this finding creates, however, does not need to wait for USTR's final determination: a universal actionability finding coerces from the moment it exists.

The 10/12.5 tiering

The proposed action imposes ad valorem duties on all products of the 60 economies, subject to Annex A exemptions. The rate is 10% for three categories: economies that already impose a prohibition (Canada, Ecuador, the EU, Indonesia, Mexico, Pakistan); the nine economies that have signed Agreement on Reciprocal Trade commitments (Argentina, Bangladesh, Cambodia, Ecuador, El Salvador, Guatemala, Indonesia, Malaysia, Taiwan); and partial-regime economies (the United Kingdom). All others face 12.5%. A separate proposed textile mechanism keys reduced-rate apparel and textile volume to US fiber and cotton exports to the partner economy.

A risk-surface map, not a forced-labor census

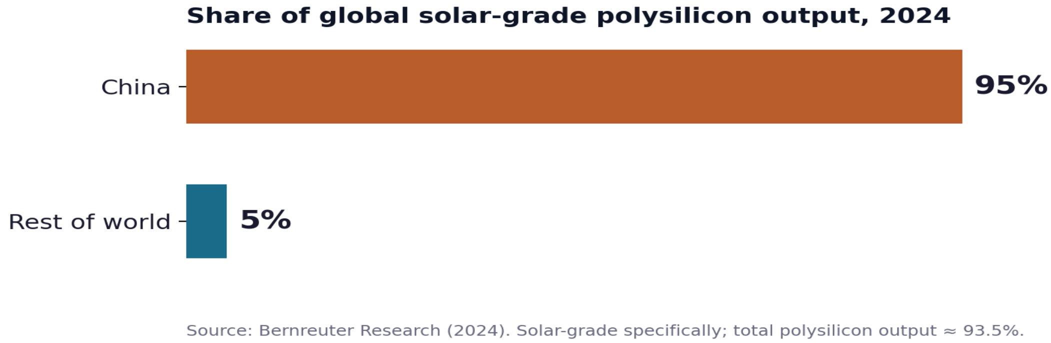
The USTR report's Appendix B and C matrices are co-occurrence flags: they record that an economy imported a flagged input and a related or downstream product. They are exposure maps, not proof of forced-labor content. Similarly, the Annex A exemptions (rare earths, graphite, many minerals, pharmaceutical intermediates) reflect political and supply-availability judgments, not a finding that those inputs are clean. Neither document should be read as adjudicating where forced labor is or is not present.

Why this authority is more durable

The durability argument rests on statutory text, not on optimism. The operative clause, Section 301(d)(3)(B)(iii)(III), defines as unreasonable a persistent pattern of conduct that permits any form of forced or compulsory labor, and Section 301 expressly names duties as a remedy. That contrasts with the two authorities already struck down in 2026. The Supreme Court held on February 20, 2026 in Learning Resources, Inc. v. Trump that the International Emergency Economic Powers Act (IEEPA) does not authorize tariffs because Congress did not mention tariffs or duties in it, as it has in other tariff statutes. The Court of International Trade then struck the Section 122 tariffs on May 7, 2026 in the Oregon and Burlap and Barrel cases, finding the balance-of-payments predicate unmet, though the Court of Appeals for the Federal Circuit administratively stayed that injunction on May 12, so those tariffs continue to be collected pending appeal at the time of writing.

These were different courts striking down different statutes, with the IEEPA decision coming first. The relevant lesson for a forced-labor instrument is that Section 301 carries the textual features the struck-down authorities lacked. The four-decade precedent cases sometimes cited for Section

301's forced-labor reach are not load-bearing here; the durability claim rests on the statute's text and its continuous use since 1974.



2. Why Compliance Is No Exit: The Permanent-Pressure Mechanism

The tiering invites a natural misreading: that an ART commitment is a route out of the action. It is not. ART signatories were found actionable and placed in the lower 10% band in the same notice. Relief operates as a 2.5-percentage-point discount, not a carve-out or a waiver. The finding is universal and durable; the tariff is universal but tiered by compliance posture.

This is not an inference from the rate structure; it is the notice's own language. USTR's Response to Comments applauds the nine ART signatories by name, then holds that a commitment to act in the future "is distinct from forbidding legally the importation of forced labor goods, and effectively enforcing such prohibition," and that until the commitment is implemented the competitive harm remains unreasonable. The notice then states that the proposed duty rate will "take into account" whether an economy has undertaken such commitments. Taking into account is the instrument's own description of what a signature buys: the 10% band, not an exit. What full compliance would buy is undetermined. An enacted but under-enforced prohibition earns the same 10% as a bare promise, which is where Canada and the EU sit. No economy was found to both impose and effectively enforce a prohibition, so the instrument has never had to price full compliance, and the notice expressly opens the rate structure to public comment. Whether implementation ever moves an economy below 10% is a question only finalization will answer, and it is the single best test of whether this is a compliance mechanism or a permanent-pressure mechanism.

The sign-and-delay inference

If a promise and full enforcement both earn 10%, the marginal return to actually implementing a forced-labor ban is zero in tariff terms. That structure rewards a specific state behavior: sign the commitment to capture the cheap discount, then leave the implementation for another day. The instrument would then generate the appearance of alliance-wide forced-labor action while delivering little additional enforcement, which is precisely the condition under which a universal finding and its leverage persist across all 60 economies.

This is an inference, with a stated falsifying observable

The sign-and-delay prediction is an analytical inference about state behavior, not an established fact. Whether it bears out will reveal itself over time. The resolving observable is whether USTR takes any enforcement action against ART signatories for non-implementation, and, at finalization (expected before July 24), whether a signatory that implements a qualifying ban is moved to a zero or exempt category or merely stays at 10%. If implementation still leaves an economy at 10%, the permanent-pressure reading is confirmed: the instrument is structurally agnostic between decoupling China and conscripting allies, and compliance is not an off-ramp.

3. The Firm-Level Trap: Where Compliance Becomes the Violation

The relief in this instrument is sovereign. It is earned by enacting a prohibition or undertaking an ART commitment, and only a government can do either. No amount of firm-level action can buy entry into the 10% band. The compliance officer, supply-chain director, or government-affairs lead at a multinational holds no lever on the tariff side of this instrument; their levers exist only on the enforcement side, and pulling those is precisely what puts the firm on the wrong side of the regulatory radar inside China. They experience the regime not as a 2.5-point differential but as firm-level legal exposure: detained shipments at the US border, and, inside China, potential designation to the Unreliable Entity List or the new Malicious Entity List, civil damages claims from terminated suppliers under the Anti-Foreign Sanctions Law, and, under Decree 835, potential personal criminal liability. The differential tariff is small, predictable, and hedgeable. The trap, which the firm enters through its own compliance conduct, offers no such assurances.

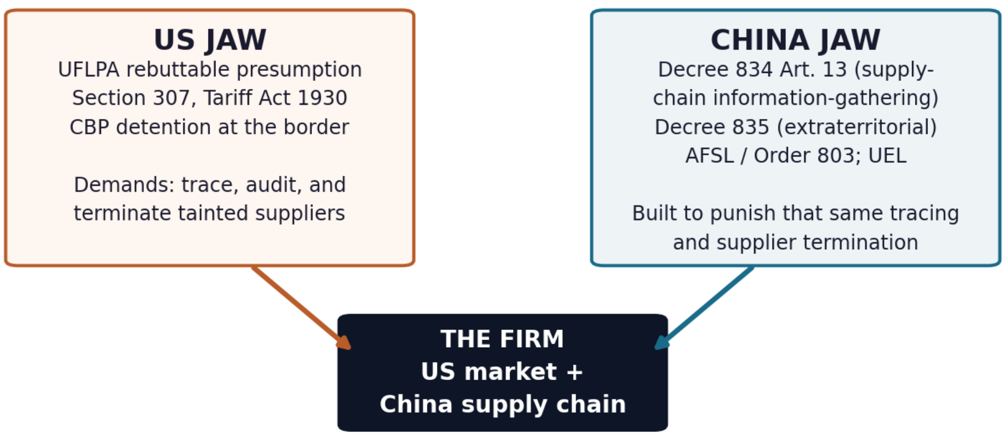
The two jaws

The Section 301 action is not itself the firm-level pincer. It operates as a tariff instrument at the state level across 60 economies. What the Section 301 report supplies is the US government's own evidentiary map of how forced-labor inputs are laundered into compliant-looking supply chains, through commingling, transshipment, and third-country substantial transformation. The enforcement jaw on the US side is older and sharper: the Uyghur Forced Labor Prevention Act and its rebuttable presumption, backed by Section 307 of the Tariff Act of 1930, operationalized as CBP detention at the border. To rebut the presumption, a firm must trace its chain to the input level and, where it finds Xinjiang or XPCC exposure, terminate the supplier.

That demanded conduct is the precise trigger for the Chinese countermeasure architecture. Its foundation, the 2020 Unreliable Entity List Provisions, the 2021 MOFCOM Blocking Rules, the 2021 Anti-Foreign Sanctions Law, and the AFSL implementing regulations at Order 803 (signed March 23, 2025; 22 articles), predates both the June 2, 2026 USTR determination and the March 12, 2026 initiation of the Section 301 forced-labor investigations. The two newest instruments landed mid-investigation, promulgated after the March 12 initiation, with timing plausibly responsive to broader US and EU derisking pressure. Decree 834 (signed March 31, 2026; 18 articles) restricts any organization or individual from conducting supply-chain investigations or information-gathering activities within China in violation of Chinese laws, administrative regulations, departmental rules, and relevant state provisions. It imposes no standalone approval requirement, but the collision with UFLPA tracing is direct: the conduct a UFLPA rebuttal requires is conduct Chinese law now expressly polices. Decree 835 (signed April 7, 2026; 20

articles) addresses improper extraterritorial jurisdiction, establishes a Malicious Entity List for those who promote or participate in implementing such measures (Article 8), and cross-references criminal liability where a violation constitutes a crime under existing PRC law (Article 18), an elevation beyond the administrative penalties and exit bans of prior instruments rather than a new standalone offense. The Unreliable Entity List supplies a further front: terminating a Xinjiang-linked supplier to satisfy UFLPA can be characterized as suspending normal transactions or taking a discriminatory measure that damages a Chinese entity, the theory MOFCOM applied to PVH Group in February 2025.

The no-compliant-path collision



The conduct one jaw demands is the conduct the other punishes. Architecture is in place on both sides; no documented enforcement against due diligence as such as of June 2026.

The trap is loaded, not yet triggered against due diligence

Every formal Chinese action against a firm to date has been brought under the pre-existing UEL and AFSL architecture, not the new decrees. PVH was placed under investigation in September 2024 and added to the UEL (with Illumina) on February 4, 2025 for alleged discriminatory measures over Xinjiang cotton, a sourcing outcome that is adjacent to, but not identical with, being punished for the act of auditing. As of early June 2026, the Decree 835 Malicious Entity List had no designations. The new decrees have been used once: the Ministry of Justice's May 15, 2026 determination identifying the EU Commission's Nuctech investigation as improper extraterritorial jurisdiction, an action against a foreign government's regulatory inquiry, not a private firm's supply-chain audit. Adjacent conduct is not untouched, however, and the 2023 cases drew the actual line. Mintz Group was raided in March 2023, its five Beijing staff detained, and fined approximately $1.5 million that July, formally for unapproved foreign-related statistical investigations, with prior work that reportedly included Xinjiang supply-chain exposure. The Capvision raids of May 2023 targeted expert consultations channeling sensitive-sector information to foreign clients, and the Counter-Espionage Law, expanded effective July 2023, widened the protected category to data bearing on national security. None of this punished UFLPA tracing as such. Together the cases establish the narrower and more relevant precedent: Beijing moves, under older general instruments, against foreign-commissioned information-gathering on subjects the state deems sensitive, and Xinjiang supply chains sit at the top of that category. The architecture is operational; it has not closed on a due-diligence case under the new decrees. The trap is structural and latent, and that is exactly why it belongs on a board risk register rather than an enforcement docket.

Who the trap binds, and who it does not

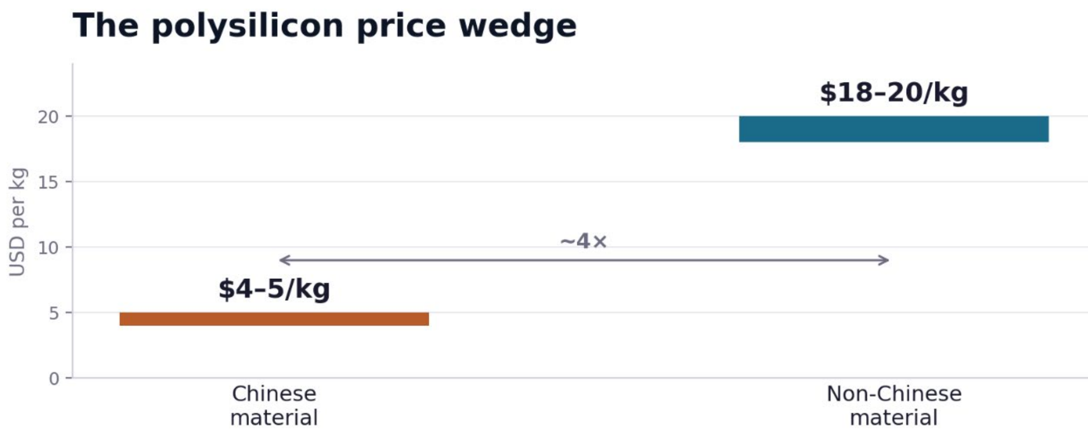
The trap is not universal. It binds a specific firm: a multinational with simultaneous US-market exposure and Chinese operations or supply chain. A pure US importer with no Chinese footprint can exit a tainted input and eat the cost, because none of the exit conduct, auditing, tracing, terminating, exposes it inside China. The trapped firm cannot, because the act of exiting is itself the conduct the Chinese stack is built to punish. A firm with no US-market exposure faces neither jaw. The trap is the intersection, not the union, of the two exposures. Naming that intersection precisely is the difference between a usable risk map and a fear narrative.

4. The Three-Zone Map: The Solar Chain as the Anchor

The zone an input occupies is decided by one variable: does a non-China, and where relevant non-Xinjiang, source exist at commercial volume, and on what time horizon? Zone 1 is genuinely exitable; Zone 2 is exitable but slow and capital-intensive; Zone 3 is structurally trapped. This section is a deep dive on the solar chain, polysilicon and the wafer step immediately downstream of it, the two most concentrated links in any UFLPA-priority supply chain. Section 5 then maps the middle zone and the exitable contrast cases. Several designated sectors, including copper, steel, caustic soda, and seafood, fall outside this report's scope and are reserved for separate analysis.

Polysilicon: trapped on volume and cost, migrating on a dated horizon

China produced roughly 95% of the world's solar-grade polysilicon in 2024 (Bernreuter Research; 93.5% across all grades), and the Department of Labor places Xinjiang at roughly half of global polysilicon supply. CBP data make solar the single most-affected UFLPA sector: approximately 2,000 shipments under HTS heading 8541 denied, around $3.26bn in value, about 34% of such inspections (USTR Report, p. 50). Non-China production exists but is thin. Wacker (Charleston, Tennessee, alongside its German base) and Hemlock (Michigan) are the only US producers of solar-grade material, at volumes far short of domestic demand, and the one attempt to add US capacity failed: REC Silicon shut its Moses Lake plant (announced December 30-31, 2024, complete by spring 2025, 224 jobs lost) after a failed qualification test on impurity levels, with Butte closing earlier in 2024. The plant could not hit the specification its single customer required, so that exit failed on quality, not merely price. The trap is volume and cost relative to demand, not the absence of alternatives.



Source: USTR Section 301 Report, p. 50, fn 169; corroborated by Bernreuter (sub-$5/kg).

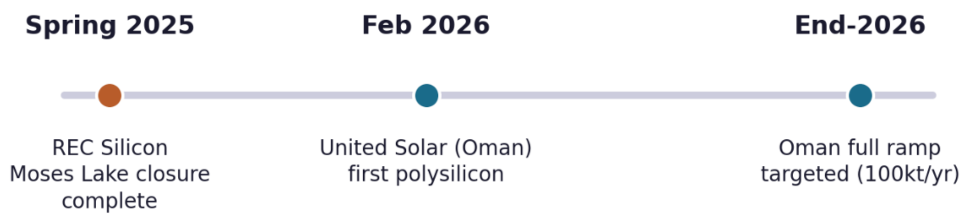
The price wedge is real: Chinese material runs roughly $4-5/kg against approximately $18-20/kg for non-Chinese material (USTR Report, p. 50 and fn 169; corroborated independently by Bernreuter's sub-$5/kg figure). On a same-day, like-for-like basis, that is close to a fourfold differential.

The picture is not static. Polysilicon is visibly migrating toward Zone 2 on a 2026-2028 horizon. United Solar Polysilicon, at the Sohar Freezone in Oman, targets 100,000 metric tons per year of solar-grade material (enough for roughly 40 GW of modules), produced its first polysilicon in February 2026, and targets full ramp by end-2026, at a cost of about $1.6bn. It is currently the largest polysilicon plant outside China.

Oman is proof of migration, not proof that diversification is illusory

United Solar operates through a two-layer structure: an Omani operating company in the Sohar Freezone, wholly owned by United Solar Holding Inc. The anchor shareholder is Future Fund Oman (sovereign wealth, total exposure near $260m). The holding company's other shareholders include IDG Capital, a Chinese private equity firm holding a reported stake of about 25%, which spent most of 2024 on the Pentagon's 1260H list before its removal that December, founder Longgen Zhang and family, and India's Waaree ($30m in Series B preferred shares, with US-directed offtake). Zhang is the former CEO of Daqo New Energy and served as vice chairman of Xinjiang Daqo, an entity on the UFLPA Entity List, from 2018 to 2022; the plant uses Chinese-lineage technology and Shuangliang equipment. Debt is led by an IFC package ($480m, including a $50m IFC equity slice) and Omani banks. The plant is not Chinese-owned, but its ownership is not Chinese-free, and the output is designed to be fully traceable and FEOC-compliant: an explicit, financed attempt to build a non-China, US-eligible source. The US voted against the IFC financing. Oman is proof that migration is being built; whether it clears the FEOC bar is the open question below.

Polysilicon migration: the escape hatch is dated and financed



Sources: REC Silicon (closure Dec 2024–spring 2025); United Solar Polysilicon, Sohar Freezone, Oman.

The two genuine open questions, left open

Oman's status as an exit rests on two tests it has not yet passed, and neither should be papered over. First, whether an ownership structure that includes a reported 25% IDG Capital stake clears the FEOC ownership thresholds; that is to date the developer's characterization, untested against the foreign-influenced-entity rules that will decide it. Second, whether the plant's metallurgical-grade silicon feedstock is demonstrably free of Hoshine and other Entity-List exposure, which is where UFLPA enforcement actually bites. Both are live procurement questions for any buyer that needs US-eligible material, and the honest answer today is that both are unresolved. The actionable framing is not you are doomed but rather: can FEOC-compliant Oman offtake be secured, and when does it reach volume?

Wafers and ingots: the most concentrated link, one rung downstream

The wafer and ingot step sits immediately below polysilicon and is the most concentrated link in the entire solar chain. USTR's Four-Year Review of the original China Section 301 tariffs, concluded in May 2024 and separate from the forced-labor action this report analyzes, found China holds 95% of global wafer capacity, against 93% for polysilicon, and the China Photovoltaic Industry Association reported 96.6% of wafer output in 2024; most of the small remainder is Chinese-owned capacity in Southeast Asia. The forced-labor exposure is inherited but operative, and that inheritance should be stated plainly: the June 2022 UFLPA designation of silica-based products reaches wafers made wholly or in part from Xinjiang polysilicon, and in January 2025 DHS added named Chinese ingot and wafer producers to the Entity List for sourcing Xinjiang polysilicon, not for forced labor at the wafer plants themselves. The non-China path exists but is years and capital from volume. The United States had no operating wafer capacity at all until Corning began ramping its Michigan plant in the third quarter of 2025, the first such facility online since 2016, toward roughly 2.5 GW of nameplate against 65.5 GW of domestic module capacity at end-2025. Qcells (Georgia, captive use), NorSun (Oklahoma, reported stalled), and Indian producers are building more, with commissioning spread across 2026 to 2030, and operating output, not announcements, is the number to track. A 50% tariff on Chinese wafers under the pre-existing China Section 301 action, in force since January 2025, raises the cost of staying put without yet supplying an alternative.

The honest thesis, then, is that the solar chain occupies the trapped end of the map at both of its critical links, with dated and financed escape hatches opening at each: Oman for polysilicon, Corning and its successors for wafers. The chain anchors that end precisely because the trap is real at two consecutive steps, and it is the strongest evidence against fatalism precisely because both exits are being built in public, on schedules a procurement function can hold them to.

5. The Middle Zone and Exitable Cases: Lithium, Cotton, Tomatoes

Lithium midstream: the middle zone, drifting the wrong way

Lithium midstream processing occupies the slow-transition zone. The designation is fact: on August 19, 2025, the Forced Labor Enforcement Task Force named lithium a UFLPA high-priority sector. The strength of the underlying nexus is an assessment, and it is moderate rather than strong: DHS rests the designation on Xinjiang state-investment targeting and labor-transfer reporting, notably Sheffield Hallam University's "Driving Force," plus listed entities including Xinjiang Nonferrous Metals Industry Group (added to the Entity List November 25, 2024), rather than on lithium-specific detention findings. There is no discrete CBP detention record for lithium chemicals to date.

The Chinese jaw bites on concentration and ownership. China processes roughly 70% of the world's lithium chemicals by both geography and ownership (IEA, 2024 data), and Chinese firms own nominally non-China capacity, most prominently the Tianqi-controlled Kwinana refinery in Australia. Derisking conduct, auditing or terminating Chinese converters, therefore plausibly triggers the countermeasure stack, an exposure that is concentration-based rather than lithium-specific: no Chinese measure names lithium audits as such. The exit exists but is receding rather than approaching. The post-2023 price collapse, more than 80% from the peak, idled Albemarle's Kemerton hydroxide plant entirely on February 11, 2026 and left Kwinana impaired and running far below nameplate, with IGO writing off its stake. One detail completes the picture and reinforces this report's central thesis: the June 2 proposed action exempts lithium oxide, hydroxide, and carbonates in Annex A. The same input is tariff-exempt for supply-availability reasons and enforcement-priority for forced-labor reasons. The tariff is the decoy; the firm-level jaw is where lithium exposure lives. In the middle zone the binding constraint is not availability but time, and the market is currently moving it in the wrong direction.

Cotton: exitable on fiber, trapped on traceability

Cotton is the original UFLPA story and looks exitable on raw-material availability: the US, Brazil, India, and Australia all produce at volume, and the US export base is documented in the USTR report's Appendix A.1. But availability is not traceability. Roughly 92.8% of China's cotton is Xinjiang-grown (MY2025/26), and the USTR report documents laundering through India, Indonesia, Jordan, Mexico, Pakistan, Sri Lanka, and Vietnam (pp. 52-53). The exit on fiber is genuine; the binding constraint is demonstrating a clean chain after material has passed through third-country spinning and lost its origin trail. Cotton is therefore exitable in principle and hard in practice, the case that proves availability and traceability are different problems.

Tomatoes: the cleaner exitable case

Tomato products have been a UFLPA high-priority sector since 2022, with a substitutable and less-launderable base in US (California), Italian, and Spanish production. One question is left open: whether that capacity can absorb displaced Chinese paste at price. Absorption is plausible but unverified, and tomatoes stay exitable either way: a constrained exit is a costlier exit, not a closed one.

What the middle zone excludes, and why

The middle zone also excludes several inputs that look like candidates, and the exclusions are findings in their own right. Rare earths present a China-dominance problem, not a forced-labor problem: the Xinjiang nexus is too thin to support a UFLPA case, and the proposed action exempts them in Annex A besides. Graphite anode material falls out the same way: China's graphite comes principally from Inner Mongolia and Heilongjiang, not Xinjiang, and the trade pressure it faces is a dumping story, not a forced-labor one. Aluminum and PVC carry the designation (both high-priority sectors since July 2024) but not the middle-zone profile, because non-China primary aluminum and US chlor-alkali capacity operate at volume today. Aluminum instead repeats the cotton pattern, exitable on metal and trapped on traceability, since remelt commingling destroys origin.

Direction of travel, not position

Every zone on this map is populated, but where an input sits matters less than which way it is moving. The trapped end is migrating out: the solar chain's exits are dated and financed, Oman for polysilicon, Corning and its successors for wafers. The middle zone is drifting deeper in: lithium's non-China conversion has been idled and impaired by the price collapse, so the crossing is lengthening rather than shortening. The two motions currently run in opposite directions, and a procurement strategy set against an input's position rather than its motion is solving last year's map.

Forward-Looking Implications Horizon

Actor	Near-term (2026)	Medium-term (2027-2028)	Long-term (2029+)
Trapped multinational (US + China exposure)	Map solar-chain (polysilicon, wafer), lithium, and cotton exposure to the input level. Treat the 834/835 collision as a board-level risk, not an active enforcement matter. No documented due-diligence prosecution yet.	Secure FEOC-compliant Oman offtake as it ramps. First test cases of 834/835 against due-diligence conduct, if any, will define the real exposure.	If Oman and successor non-China capacity scale, the polysilicon trap eases toward a managed transition. The cotton traceability problem persists longer.
US enforcement posture	Section 301 action finalized (expected before July 24). UFLPA detentions continue as the operative firm-level jaw. Appendix B/C remain risk maps, not findings.	Watch whether ART-signatory non-implementation draws any enforcement. FEOC and UFLPA treatment of Chinese-provenance, non-China-made inputs is the key interpretive question.	The universal finding persists as durable leverage regardless of administration, given the statutory hook.

Actor	Near-term (2026)	Medium-term (2027-2028)	Long-term (2029+)
Chinese countermeasure stack	834/835 architecture in place; Malicious Entity List empty. Enforcement runs through pre-existing UEL/AFSL channels.	First designations or first due-diligence-targeted action would convert the latent trap into a live one. This is the single most important thing to watch.	If the stack is used assertively, the no-compliant-path zone becomes operational and the cost of a China footprint rises structurally.
Solar chain supply	Oman first production (Feb 2026). China ~95% of solar-grade polysilicon and ~95% of wafer capacity. US solar-grade base: Wacker (TN), Hemlock (MI); Corning wafers ramping.	Oman full ramp targeted end-2026; Corning, Qcells, and Indian wafer lines ramp. Operating output, not nameplate, decides whether the trapped end opens.	A genuinely diversified, traceable, FEOC-compliant polysilicon and wafer base would dissolve the anchor trap. The migration is dated but not guaranteed.
Lithium midstream	UFLPA high-priority since Aug 19, 2025. China ~70% of lithium chemicals processing (IEA). Kemerton idled Feb 11, 2026; Kwinana impaired. Annex A exempts lithium chemicals from the proposed tariff.	Whether any non-China hydroxide plant reaches sustained nameplate at competitive cost. Restarts or closures at Kemerton and Kwinana set the direction.	Sustained non-China conversion at volume moves lithium toward the exitable zone; a Kwinana closure with no Western restart through 2028 moves it toward trapped.

Actionable Takeaways

Each of the following is a concrete action, not a general orientation. The underlying logic applies regardless of where in an organization these questions are being asked.

01 Establish whether you are inside the trap or merely exposed to the tariff

Determine, first, whether your firm has simultaneous US-market exposure and a Chinese operation or supply chain. If you have only one of the two, you face a tariff (passable as price) or no US jaw at all. If you have both, you are inside the conflict-of-laws zone and the tariff is the least of your concerns. This single determination governs everything that follows.

02 Map solar-chain, lithium, and cotton exposure to the input level, not the supplier level

Tier-one supplier attestations are insufficient where the binding constraint is traceability, not availability. For cotton, demonstrating a clean chain after third-country spinning is the hard problem. For solar, the question is whether your module supply touches Chinese solar-grade polysilicon or Chinese wafers at any step; the wafer link is more concentrated than the polysilicon link. For lithium, the exposure runs through the conversion step, not the mine. Trace to the input, because that is the level at which CBP detains.

03 Treat the 834/835 collision as a board risk now, before it is an enforcement matter

No documented Chinese enforcement action has yet targeted due diligence as such, and that is precisely why it belongs on a risk register rather than a litigation calendar. The exposure is latent and structural. Brief the board on a risk that does not appear on any duty schedule, and document the conflict-of-laws analysis before, not after, a tracing exercise is undertaken inside China.

04 Engage the polysilicon escape hatch as a procurement question, not a hope

The actionable question for solar-exposed firms is whether FEOC-compliant Oman offtake can be secured and when it reaches volume, not whether diversification is possible in principle. It demonstrably is. Open the offtake conversation and track the end-2026 ramp, while keeping both Oman tests explicitly unresolved in your risk assessment: the FEOC ownership question raised by the reported 25% IDG Capital stake, and the Hoshine-free status of the metallurgical-grade feedstock.

05 Do not read an ART signature, or an Annex A exemption, as relief

An ART commitment moves a partner economy to the 10% band; it does not exempt your inputs from UFLPA enforcement, which is the jaw that actually bites firms. An Annex A exemption reflects supply-availability politics, not a forced-labor clearance. Neither is a clean bill of health, and treating them as one is a documentable compliance error.

06 Watch the finalization and the first 834/835 use as your two trigger events

The Section 301 finalization (expected before July 24) will resolve whether compliance is a discount or an off-ramp. The first Chinese enforcement action against due-diligence conduct, if it comes, will convert the latent trap into a live one. These two events, more than any tariff number, determine the cost of your China footprint.

Indicators to Watch

These are operational intelligence triggers, not background monitoring items. Each is a specific, observable signal that resolves a question this report leaves open.

01 ART-signatory enforcement (the permanent-pressure test)

Whether USTR takes any enforcement action against an ART signatory for non-implementation, and whether a signatory that implements a qualifying ban is moved below 10% at finalization. If implementation still leaves an economy at 10%, the permanent-pressure thesis is confirmed and compliance is definitively not an off-ramp.

02 The first 834/835 action against due-diligence conduct

Any designation to the Decree 835 Malicious Entity List, or any enforcement action characterizing a supply-chain audit or supplier termination as a punishable act, would convert the latent trap into a live one. This is the single most consequential observable in the entire report.

03 Solar-chain migration timeline (the Oman and Corning ramps)

Whether United Solar reaches full 100,000 MT/yr ramp on its end-2026 target and secures FEOC-compliant, US-eligible offtake at volume, and whether Corning's Michigan wafer line converts nameplate into sustained operating output. Slippage extends the trap; delivery begins dissolving it at both links.

04 FEOC and UFLPA treatment of Chinese-provenance, non-China-made inputs

How US agencies treat polysilicon made outside China by a firm with Chinese founder and technology lineage. A clarifying determination resolves the central open procurement question for solar-exposed buyers.

05 Section 301 finalization before July 24

Whether the final action preserves the 10/12.5 split or compresses it, and whether it arrives before the Section 122 tariffs expire. The structure of the final determination resolves how durable and how tiered the instrument actually is.

06 Annex A and the textile mechanism in the final notice

Whether the exemption list and the fiber-and-cotton-keyed textile mechanism survive the comment period intact. Changes here reshape which inputs fall inside or outside the action's scope.

07 Lithium midstream direction (Kemerton and Kwinana)

Whether any non-China lithium hydroxide plant reaches sustained nameplate at competitive cost, and whether Kemerton restarts or Kwinana closes outright. A sustained restart moves lithium toward the exitable zone; a Kwinana closure with no Western restart through 2028 moves it toward trapped. Track operating output and plant status, not project announcements.

The forced-labor finding is universal in effect and, on its statutory text, durable. The tariff it carries is a decoy: small, tiered, and hedgeable. The instrument that should occupy a multinational's risk committee is the collision the tariff conceals, where the firm's own act of compliance becomes the violation. That collision is built on both sides and has not yet closed on a due-diligence case. The question that defines the next two years is not whether the trap exists. It is whether the firms inside it used the window before the first jaw closed.

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